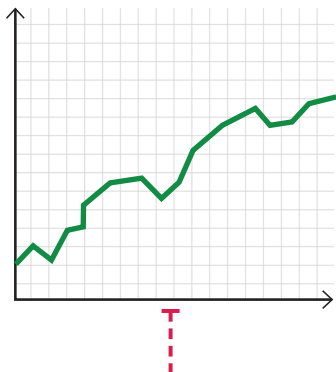
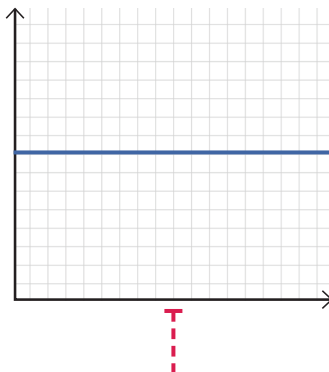




*So, when we analyze these data,
we can conclude that DSO and
Provisioning for debt are increasing*



*but bad debt is
not being written
off is stable.*

The increase in provisions might be a result of increasing DSO.

The next step involves checking the financial health of the debtors. For this, we have to find who the debtors are. Are they large companies or small distributors? We might find some information in the balance sheet. However, an on-ground analysis will provide more relevant data.

Also, we need to, check the company's active credit term mentioned by the management or through our on-ground research against the actual DSO. The DSO has increased from 44 to 60. You may want to stay away from industries that are not disciplined and there is a stark difference between DSO and promised credit terms.



DSO

*Disciplined and
organized industries
are likely to have
similar DSO and
credit terms.*



Credit Terms